Localizing California's Wage Laws

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Abstract

[This will be the abstract of my simulation, providing a brief summary of my capstone project.]

Introduction

California annually adjusts the minimum wage for its workers to account for national inflation increases while actively combating our high cost of living. However, as prices continue to surge, our state and local governments tend to disagree with the rate at which our minimum wage should be. Therefore, although as of January 1st, 2026, the statewide minimum wage is $16.90, local governments are able to determine their own rates as long as they meet that baseline - this results in variances ranging anywhere from $16.90 to $20.25, and will most likely continue to raise in years to come ("Inventory of US City and County Minimum Wage Ordinances" n.d.). These discrepancies are specifically problematic due to the relationship of these higher wages and the economic affluence of an area; such that, the wages of most cities in California are not reflective of other economic factors, such as inflation and cost of living. This brief seeks to analyze the economic and social consequences of minimum wage increases from a city-centric lens.

Initiatives to continue raising the minimum wage annually exemplify that our statewide minimum wage is not enough to live comfortably in California; thus, the solution to the problems which stem from policy implementation (i.e., inflation, job losses, cutting hours, etc.) isn't to cap the minimum wage, but to adjust the approach. Voter behavior suggests skepticism toward broader wage increases, as seen in a "no" vote to Proposition 32, which proposed raising the statewide minimum wage to $18 by 2026 ("California Proposition 32, $18 Minimum Wage Initiative (2024)" n.d.). Therefore, California must set higher rates while incentivizing businesses to not hike their pieces - ultimately re-establishing voter confidence.

Hypothesis

Currently, minimum wage adjustments account for annual inflation using the Consumer Price Index (CPI), which measures the average change over time in the prices paid by urban consumers for a basket of goods and services. But is this static basket accurate enough to set our individual wages? I argue that cost-of-living, which tracks actual expenses required to live (such as housing, taxes, healthcare, and other localized costs) across more specific regions is a better indicator of what wages should be. Thus, I propose setting a baseline statewide minimum wage and increasing annually based on cost-of-living in California cities, to ensure more accurate wage indexes, rather than using a federal level of inflation.

This Study

Therefore, in this proposal I intend to first determine a new, hypothetical wage baseline for California, by attempting to resolve tensions at a national level for all states via a cost-of-living calculation (adjusting from the $7.25 federal wage). Second, I will use this state hypothetical wage to adjust California's local minimum wages, divided into their individual cities, via the

same cost-of-living approach. I argue that these hypothetical wages are more economically accurate and representative of community needs, regardless of how realistic it may be to achieve.

1. Setting the Minimum Wage Baseline by State

Although this brief is pertaining to California as a separate entity, the question of "what is to be done with minimum wage?" still remains to be eagerly addressed in all states across the nation. There are 21 states that either match the federal minimum wage of $7.25 per hour or have no minimum wage law (which still translates back to the federal wage) (Hirsch 2017). Therefore, our nation's wages range from $7.25 to $17.13, depicting a $10 wage gap for state governments unwilling to raise their wage rates above the federal law, despite their cost-of-living surpassing the national level.

The federal minimum wage, however, is not indexed by the Consumer Price Index, which states use to justify raising their floors. In order to change the $7.25 wage floor, which has been the wage since 2009, Congress would need to pass a new law signed by the President. But why do some states still adhere to this wage if it is not reflective of the current economy? 17 states stuck at this wage have passed "preemption" laws that strip cities of the power to raise wages.

Proportioning Wages to Cost-of-Living

```
# check permission to web scrape
library(robotstxt)
paths_allowed("https://www.salary.com")
```

```
[1] TRUE
```

```
# read in packages
library(tidyverse)
library(rvest)
library(purrr)

# create a function that scrapes the cost of living data per state from salary.com
web_func <- function(state) {
html <- paste0("https://www.salary.com/research/cost-of-living/", state)
page <- read_html(html)
quantity <- page |>
```

```
  html_elements(".sal-adjustment-value") |>
  html_text()
# return a tibble
data <- tibble(
  state = state,
  quantity = quantity # quantity refers to how much higher (by %) a state's cost of living is
)
return(data)
}

# map the states and their quantity (defined above)
dif_states <- c(state.abb)
COL_by_state <- map(dif_states, web_func) |>
  list_rbind()
print(COL_by_state)
```

```
# A tibble: 50 x 2
   state quantity
   <chr> <chr>
 1 AL    11%
 2 AK    24%
 3 AZ    6%
 4 AR    11%
 5 CA    42%
 6 CO    3%
 7 CT    12%
 8 DE    0%
 9 FL    2%
10 GA    9%
# i 40 more rows
```

To begin my analysis, I web scraped data from Salary.com's cost of living calculator by state ("Salary.com | Compensation Data, Survey, Software & Analytics" n.d.). I created a function which input the state's abbreviations into their website, and produced a tibble with 2 columns: state and quantity - with quantity referring to how much higher (in percentage) a state's cost of living is compared to the national level.

This tibble depicts how although there are 21 states that adhere to the federal minimum wage of $7.25, only two states (Nevada and Delaware) didn't have higher costs of living (0%) compared to the federal rate. These two states, however, have wages higher than $7.25: Nevada has a minimum wage of $12 and Delaware has a minimum wage of $12. These results suggest that

all 21 of these states following the $7.25 minimum wage are underpaying their minimum wage earners, when trying to proportion wage rates with cost of living.

Since Nevada and Delaware have the same cost of living, or lower, as the federal level, perhaps we should change the benchmark from $7.25 entirely - which has presided for almost two decades. According to RentCafe, Nevada has a cost of living which is 2% lower than the national average, while Delaware is the same ("Apartments for Rent & Houses for Rent | Rentcafe" n.d.). So, instead, the new "minimum" wage at a federal level will be conducive to Delaware's: $15 (a 2.07% increase).

By increasing the federal wage to $15 using data from 2026, this measure will be more realistic for the modern economy, rather than maintaining an already established meager wage of $7.25.

```r
# calculate new minimum wages by state
pct <- as.numeric(sub("%", "", COL_by_state$quantity))
decimals <- (pct / 100) # convert percentages to decimals
rate_of_change <- (decimals * 15)
new_wage <- (rate_of_change + 15)
wage_by_state <- data.frame(
  state = dif_states,
  new_wage = new_wage
)
print(wage_by_state)
```

```
   state new_wage
1     AL    16.65
2     AK    18.60
3     AZ    15.90
4     AR    16.65
5     CA    21.30
6     CO    15.45
7     CT    16.80
8     DE    15.00
9     FL    15.30
10    GA    16.35
11    HI    27.60
12    ID    15.30
13    IL    15.75
14    IN    16.35
15    IA    16.50
16    KS    16.95
17    KY    16.05
```

```
18    LA    16.05
19    ME    16.80
20    MD    17.55
21    MA    22.35
22    MI    16.05
23    MN    15.75
24    MS    16.95
25    MO    16.80
26    MT    15.75
27    NE    16.05
28    NV    15.00
29    NH    17.25
30    NJ    16.80
31    NM    16.05
32    NY    19.05
33    NC    15.30
34    ND    16.20
35    OH    15.75
36    OK    17.25
37    OR    16.50
38    PA    15.75
39    RI    16.20
40    SC    15.75
41    SD    16.20
42    TN    16.50
43    TX    16.05
44    UT    16.50
45    VT    16.80
46    VA    15.15
47    WA    16.80
48    WV    17.25
49    WI    15.15
50    WY    15.75
```

Therefore, only Denver and Nevada will now adhere to the federal minimum wage ($15), while every other state will raise in proportion with cost-of-living data. State wages will now range from $15 to $27.60 - a wider gap ($12.60), but more reflective of the needs of individual communities.

Comparing to State's Original Wages

```
# create a function which scrapes the minimum wages from each state for 2026
statewage_func <- function(state_names) {
  state_names <- gsub(" ", "-", state_names)
statewage_html <- paste0("https://minimumwage.com/state/", state_names, "/")
statewage_page <- read_html(statewage_html)
min_wage <- statewage_page |>
    html_elements(".big-number") |>
    html_text()

# return a tibble
statewage <- tibble(
  state = state_names,
  actual_wage = min_wage
  )

  return(statewage)
}
# lowercase state names to correspond to website format
state_names <- tolower(state.name)

# map the states and their actual wages for 2026
minwage_by_state <- map(state_names, statewage_func) |>
  list_rbind() |>
  mutate(actual_wage = str_extract(actual_wage, "\\$[0-9]+\\.[0-9]{2}")) |>
  distinct(state, .keep_all = TRUE)
```

```
state_wages <- data.frame(
  state = state_names,
  actual_wage = minwage_by_state$actual_wage,
  new_wage = paste0("$", new_wage)
)

print(state_wages)
```

```
           state actual_wage new_wage
1        alabama       $7.25   $16.65
2         alaska      $14.00    $18.6
3        arizona      $12.15    $15.9
4       arkansas      $11.00   $16.65
```

5	california	$16.90	$21.3
6	colorado	$15.16	$15.45
7	connecticut	$16.94	$16.8
8	delaware	$15.00	$15
9	florida	$15.00	$15.3
10	georgia	$7.25	$16.35
11	hawaii	$16.00	$27.6
12	idaho	$7.25	$15.3
13	illinois	$15.00	$15.75
14	indiana	$7.25	$16.35
15	iowa	$7.25	$16.5
16	kansas	$7.25	$16.95
17	kentucky	$7.25	$16.05
18	louisiana	$7.25	$16.05
19	maine	$15.10	$16.8
20	maryland	$15.00	$17.55
21	massachusetts	$15.00	$22.35
22	michigan	$13.73	$16.05
23	minnesota	$11.41	$15.75
24	mississippi	$7.25	$16.95
25	missouri	$15.00	$16.8
26	montana	$10.85	$15.75
27	nebraska	$15.00	$16.05
28	nevada	$12.00	$15
29	new hampshire	$7.25	$17.25
30	new jersey	$15.92	$16.8
31	new mexico	$12.00	$16.05
32	new york	$16.00	$19.05
33	north carolina	$7.25	$15.3
34	north dakota	$7.25	$16.2
35	ohio	$11.00	$15.75
36	oklahoma	$7.25	$17.25
37	oregon	$15.55	$16.5
38	pennsylvania	$7.25	$15.75
39	rhode island	$16.00	$16.2
40	south carolina	$7.25	$15.75
41	south dakota	$5.92	$16.2
42	tennessee	$7.25	$16.5
43	texas	$7.25	$16.05
44	utah	$7.25	$16.5
45	vermont	$14.42	$16.8
46	virginia	$12.77	$15.15
47	washington	$17.13	$16.8

```
48  west virginia       $8.75   $17.25
49      wisconsin       $7.25   $15.15
50        wyoming       $7.25   $15.75
```

To compare the hypothetical minimum wages per state, I web scraped the actual 2026 wage rates by state from Minimumwage.com ("MinimumWage.com" n.d.). Similar to the hypothetical simulation, I created a function which input the state's name, and produced a tibble with two columns: state and "actual_wage." After this was accomplished, I joined the actual wages and the hypothetical wages ("new_wage") to develop a new tibble to directly visualize the differences.

This tibble suggests that while most states are severely underpaying their minimum wage earners (94% of the states), Connecticut and Washington are both overpaying their workers, though slightly: Connecticut has an actual wage of $16.94 and Washington has an actual wage of $17.30, though only $16.80 is necessary to reflect the cost-of-living in both regions.

Thus, in the upcoming section, California's new statewide wage floor will be $21.30, rather than $16.90

2. Setting Minimum Wage Rates by California City

[California simulation by city, starting at $21.30]

3. Conclusion

[Here I will discuss my results + their implications]

References

"Apartments for Rent & Houses for Rent | Rentcafe." n.d. Accessed November 5, 2026. https://www.rentcafe.com/.

"California Proposition 32, $18 Minimum Wage Initiative (2024)." n.d. *Ballotpedia*. Accessed November 5, 2026. https://ballotpedia.org/California_Proposition_32,_$18_Minimum_Wage_Initiative_(2024).

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